PENNINGTON INDUSTRIES LIMITED

(Company number 02981145)

(the "Company")

MINUTES OF A MEETING OF THE BOARD OF DIRECTORS

held at Pennington House, Kettering Business Park, Kettering NN15 6XT

on 5 March 2026 at 9.30 a.m.

Present

Richard Pennington (Chair & Chief Executive) – in the chair

Grace Underwood (Group Finance Director)

Henry Doyle (Operations Director)

Margaret Ellison (Non-Executive Director)

Naomi Patel (Company Secretary) – in attendance

Sarah Whitfield and James Osei (Whitfield Carter LLP) – by invitation

Duncan Reeves (Marlow Tax & Advisory Ltd) – by invitation

1. Quorum and notice

The Chair noted that due notice of the meeting had been given, that a quorum was present and that the meeting was properly constituted and competent to transact business. The directors confirmed they had received the board pack circulated in advance, comprising the latest management accounts, the rolling 13-week cash flow forecast, the draft standstill and waiver agreement and the directors' duties advice note from Whitfield Carter LLP.

2. Declarations of interest

No director declared any interest in the matters to be considered beyond those previously notified and recorded in the register of interests.

3. Financial position and covenant breach

The Finance Director presented the Group's current financial position. She reported that, at the December 2025 test date, the Group's net leverage stood at 4.6 times EBITDA against a covenant of 3.00 times, and the debt service cover ratio at 0.94 times against a covenant of 1.20 times. Both breaches constituted continuing Events of Default under the Facilities Agreement with Calderbank Mercantile Bank plc. She explained that the deterioration reflected the loss of a major municipal water framework contract, input-cost inflation and a build-up of working capital, and that, absent further facilities, the Group faced a short-term liquidity shortfall within the forecast period.

4. Directors' duties

Sarah Whitfield of Whitfield Carter LLP took the board through the advice note on directors' duties in the current circumstances. She explained that, following the decision in BTI 2014 LLC v Sequana SA, the duty to have regard to the interests of creditors was now engaged, and that the board should treat creditors' interests as a central consideration while a consensual solution was pursued. She advised the board to meet frequently, to scrutinise reliable financial information, to take and follow professional advice, and to minute its decisions and the reasons for them. The board confirmed it understood the advice.

5. Restructuring strategy and the standstill

The board discussed the restructuring strategy. Duncan Reeves of Marlow Tax & Advisory Ltd outlined the scope of the independent business review to be prepared for the Bank and the timetable for delivery. The board reviewed the draft standstill and waiver agreement, under which the Bank would agree, for a period of 13 weeks, not to exercise enforcement rights arising from the specified covenant breaches, subject to information undertakings and milestones, in return for a standstill fee and the Group's commitment to negotiate an amendment and restatement of the facilities including a new super-senior money facility.

6. Approvals and resolutions

After careful consideration, and having regard to the interests of the Company's creditors as well as its members, IT WAS RESOLVED that:

6.1 the entry by the Company into the standstill and waiver agreement with Calderbank Mercantile Bank plc, substantially in the form of the draft produced to the meeting, be and is hereby approved;

6.2 the engagement of Marlow Tax & Advisory Ltd to prepare the independent business review be and is hereby approved;

6.3 any one director, or any director acting together with the company secretary, be and is hereby authorised to execute (and, where appropriate, to execute as a deed) and deliver the standstill and waiver agreement and any related documents on behalf of the Company, with such amendments as the person(s) so executing may approve; and

6.4 the directors continue to monitor the financial position of the Company closely and that further meetings of the board be convened weekly during the standstill period.

7. Close

There being no further business, the Chair thanked those present and declared the meeting closed at 11.05 a.m.

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Richard Pennington

Chair

Dated: 5 March 2026